1. Marketing Strategy

1.1. Planning the Marketing Strategy

Contents of a marketing plan

- Developing a marketing strategy is called marketing planning
- A typical marketing plan includes:
  - Purpose and business mission
  - Situational analysis (current state, including market research)
  - Marketing objectives (goals for the strategy)
  - Marketing strategy (action plan to achieve objectives)
  - Marketing mix (4Ps combination)
  - Marketing budget (available resources)
  - Executive summary and implementation timeline

Purpose and mission

- This section outlines the plan's purpose, such as supporting a new business proposal or a product launch.
- The mission statement and background details clarify how the plan aligns with the business.

Situational analysis and market research

- Understanding the business's current position is crucial for effective marketing strategies. This involves:
  - Current product portfolio
  - Target market research (e.g., consumer profiles)
  - Competitor analysis (e.g., number and marketing mix)
  - Economic and political factors (PEST analysis)
  - SWOT analysis

Marketing objectives

- A marketing plan should answer: Where do we want to be? Clear, SMART marketing objectives help track progress. Objectives may include:
  - Sales targets (units or dollars) by a set date
  - Market share goals
  - Sales growth rate
  - Profit margin targets for the product

Marketing strategy

- This section explains how the business will achieve its marketing objectives, such as:
  - Mass or niche marketing.
  - Targeting existing markets and consumers.
  - Entering new market segments.
  - Expanding into new markets (e.g., internationally).

Marketing resources

- Resources that can be used by a business in order to reach its marketing objectives

They include:

- Website
  - Acts as the digital storefront.
  - Should be clear, user-friendly, and informative.
- Social Media
  - Platforms like Instagram, Facebook, TikTok, LinkedIn
  - Used to promote, engage, and build brand awareness
- Email Marketing
  - Sends direct messages to subscribers
  - Useful for updates, offers, and building loyalty
- Paid Advertising
  - Includes Google Ads, Meta Ads, etc.
  - Targets audiences based on behavior or interests

Marketing mix

- The marketing plan outlines specific tactics within the 4Ps:
  - Product: USP and key differentiator
  - Price: Skimming or penetration pricing
  - Promotion: Planned methods
  - Place: Main distribution channels

Marketing budget

- The plan must align with the marketing budget, detailing monthly spending for each promotion method.
- Total costs should stay within the allocated budget for the product launch.

Reviewing the marketing plan

- How successful was the marketing plan? Assess whether objectives were met and identify any shortfalls.
- Adjustments may be needed for the next period. Evaluate overall success at the end of the review period to refine the strategy.
- Strategic planning is an ongoing process known as the strategic planning cycle.

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Benefits and limitations of marketing planning

Benefits	Limitations
It is essential to the overall business plan, demonstrating market potential, profitability, and appropriate marketing tactics.	It can be time-consuming, and small businesses may lack the expertise for an effective plan.
It reduces the risk of failure, as clear objectives, market research, coordinated strategy, and budget control minimize risks.	In fast-changing markets, inflexible plans may be disadvantageous, especially with new competitors.
It provides direction for other departments like finance, operations, and HR.	Inadequate market research can lead to inappropriate strategies.

1.2. Approaches to marketing strategy

- Marketing managers should consider some key issues when developing an effective strategy.

Consistency

- A marketing strategy must align in quality, quantity, and messaging. Specifically, it should be consistent with:
  - The business: Reflect the brand's identity and avoid conflicting with customers' perceptions.
  - The product: Support the product's nature and intended image through suitable promotional methods.
  - The market: Tailor to the target market, whether industrial vs. consumer or niche vs. mass market.

Coordination

- A marketing strategy must be fully coordinated, ensuring all activities deliver a consistent message. Key examples include:
  - Aligning the marketing mix with objectives.
  - Coordinating promotion tactics with the budget.
  - Ensuring the 4Ps are aligned with each other.

Focused

- Measurable marketing objectives are vital to a marketing plan, guiding strategies toward specific goals.
- Different objectives demand tailored strategies, such as a cereal brand requiring distinct approaches for varying objectives (see table below).

Marketing objective	Marketing strategy	Main marketing-mix tactics
Increase national market share by 30% within 2 years.	Use an integrated strategy to penetrate the market.	* Lower the price
Increase total sales by 50% in 3 years	Sell the product in foreign markets through local agents.	* Adjust product taste for local preferences
Increase profit margins on this cereal brand	Use an integrated strategy to increase added value and build a premium brand image.	* Focus promotions on quality and healthy ingredients

The changing role of IT and AI in marketing

- Marketing has fundamentally changed due to IT, with AI accelerating decision-making in numerous ways.

IT applications in marketing

- Widely used IT applications in marketing include:
  - Internet: Websites are essential for product promotion, sharing details, and selling globally. Online services and media drive traffic.
  - Email: Opt-in email lists allow businesses to engage customers with product announcements, discounts, and updates.
  - Mobile: Mobile marketing reaches customers via text messages and apps, offering deals and promotions.
  - In-store: Digital signage and advanced point-of-sale systems help businesses market products and track inventory.
  - Social Media: A powerful tool for product marketing, allowing businesses to engage customers, share updates, and encourage reviews.

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Potential AI applications in marketing

- AI's ability to analyse vast data is revolutionising marketing. Here are four ways AI aids marketing managers:
  - Consumer insights: AI tracks consumer behavior across social media, helping adjust messages or offers to meet preferences.
  - Digital advertising: AI optimizes campaigns by analyzing consumer searches, profiles, and online data for targeted promotions.
  - Personalized messaging: AI creates detailed consumer profiles to deliver tailored messages at the right time and through the right medium.
  - Real-time interaction: AI identifies trends and enables brand marketing to engage consumers at the moment of decision-making, influencing purchases.
- Limitations of AI in marketing include:
  - Consumer resistance to data collection.
  - Ongoing need for management supervision.
  - High investment in data, IT, and computing.
  - Lack of human creativity in AI systems.

1.3. Strategies for international marketing

- Business analysts debate how much international marketing strategies should differ from national ones, but all agree that increased international trade impacts marketing.

Globalisation and international cooperation: implications for marketing

- Globalisation, accelerated by multinational companies and economic collaboration, has led to free-trade agreements that reduce or eliminate trade barriers.
- Key features include:
  - Increased international trade due to reduced trade barriers
  - Growth of multinational businesses with greater capital freedom
  - Freer movement of workers between countries
- World trade has grown in recent years, driven by:
  - The World Trade Organization (WTO) and free-trade agreements
  - The rise of regional free-trade areas like ASEAN and the EU
- Since 2001, Asian economies, led by China and India, have contributed 40% of global trade expansion. China's WTO membership played a key role, with exports making up 20% of its GDP by 2020.
- Trade growth averaged 7% per year from 1997–2007 but slowed after the 2008 financial crisis, reaching 2.5% in 2013 and 3.9% in 2018. Trade protectionism may limit future growth.
- Recent import and export increases have come mainly from less economically developed countries.
- Globalisation and increased economic collaboration have positive and negative implications for marketing:

Positive implications	Negative implications
Greater opportunity to sell goods internationally without tariffs or quotas, offering higher sales, economies of scale, and improved profitability.	Freer access for foreign businesses increases competition, and uncompetitive national businesses may see falling sales.
A single global marketing strategy can create a unified brand identity, saving costs.	Multinational competition forces national businesses to lower prices, potentially reducing profits.
Sourcing materials from low-cost countries without tariffs can reduce prices and boost competitiveness.	A global marketing strategy may overlook cultural and taste differences, requiring businesses to "think global but act local."
More opportunities for mergers, takeovers, and joint ventures with foreign businesses, easing international marketing.	Anti-globalisation pressure groups could lead to negative publicity, consumer boycotts, and reduced demand, especially for multinationals.

Importance of international marketing for a business

- International marketing offers businesses growth opportunities, especially with the rise of developing countries (BRICS).
- Key reasons include:
  - Saturated home markets: Expanding to countries with fewer competitors can boost sales.
  - Profit opportunities: Low operating costs in some countries allow higher profit margins in wealthier nations.
  - Spreading risks: International markets reduce reliance on domestic economic and legal constraints.
  - Poor trading conditions at home: For example, luxury sales in Greece fell during the 2019 crisis, while they grew in China.
  - Legal differences: Stricter regulations in some countries can push businesses to target markets with fewer restrictions, like tobacco manufacturers in emerging economies.
- While profitable, the ethics of such strategies may be questioned.

International markets: identification, selection and entry

- Entering international markets is a major strategic decision that requires thorough research.

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- **The decision-making process includes four stages:**
  - **Identify potential markets**: Research factors like GDP growth, standard of living, languages, culture, and geography.
  - **Screen markets**: Assess political stability, currency stability, market size, competition, transportation costs, and distribution channels.
  - **Select a market**: Shortlist the best markets, visit each, meet with potential partners, and analyze competitors' success rates.
  - **Enter the market**: Decide on the best marketing strategies to succeed in the new market.

International marketing strategies

- Globalisation reduces national and regional differences in tastes, culture, fashion, and wants.
- Analysts like Theodore Levitt argue the world is increasingly demanding standardised goods, enabling companies to leverage technology for economies of scale by selling the same product globally.
- However, others, such as Susan Douglas and Yoram Wind, note persistent consumer differences across markets.
- While standardisation offers one approach, it can fail.
- An alternative is localisation, where businesses adapt their marketing mix to suit local needs and maintain market differences.

Pan-global marketing strategies

- Truly global corporations minimise costs by treating the world or large regions as a **single market**.
- A **pan-global marketing strategy** uses standardised products, branding, and promotions worldwide.
- Smaller-scale versions include **pan-European or pan-Asian strategies** focused on specific regions.
- Using a uniform marketing strategy across countries offers businesses both advantages and disadvantages.

Advantages	Disadvantages
Establishes a standard product identity, helping consumer recognition through global travel and international advertising.	Cultural and religious differences may require product adaptation, risking missed market opportunities with a single global product.
Reduces costs through economies of scale by producing the same product for all markets, critical for costly, short-lifecycle products.	Legal restrictions vary by country, affecting products, promotions, and advertisement content.
Simplifies the marketing mix and adapts to reducing consumer differences, especially among globalised demographics like teenagers.	Poorly translated brand names can offend consumers or embarrass the company.
-	Uniform pricing ignores income level differences across countries.

- Concerns about cultural imperialism and anti-globalisation movements highlight the value of adapting products to meet specific cultural, religious, and consumer needs.
- Multinationals like **McDonald's, Coca-Cola, and Starbucks** face backlash for one-size-fits-all strategies and are increasingly tailoring their approaches to diverse communities, despite higher costs.
- This shift toward global localization aligns marketing strategies with local preferences.
- Pan-global marketing remains vital for two product groups: upmarket brands like Rolex and Versace, prized for exclusivity and global appeal, and mass-market brands like Levi's, Apple, and Nike, which benefit from global campaigns and economies of scale.

Global localisation strategies

- This approach to international marketing is often described as "**Thinking global - acting local.**"
- **Yum!**, the world's largest fast-food organisation with brands like **KFC and Pizza Hut**, successfully uses the *"Think global, act local"* approach.
- It offers franchisees the benefits of being part of a giant corporation while customising its marketing mix for different markets.
- **For example:**
  - In China, **Yum!** offers unique products like **KFC Dragon Twisters and crayfish burgers** to suit local tastes.
  - Prices vary by country to reflect income differences.
  - Ads feature local people, and Yum! tests local restaurant concepts, such as Chinese-style quick-service restaurants.
- However, global localisation has its limitations.

Benefits	Limitations
Adapting the marketing mix to local needs, tastes, and cultures can boost sales and profits.	Economies of scale are reduced.
This approach avoids imposing foreign brands and products on regional markets.	The international brand may lose identity locally if products become more popular.
Products are more likely to meet local legal requirements than standardised ones.	Adapting products, ads, and store layouts is costly.
There is less local political and pressure-group opposition to such multinational business activity.	These costs could result in higher prices than a global marketing strategy.

Choosing the strategy to develop a global market

- The choice of strategy depends on the differences between the national and target global markets.
- Greater differences call for a localised strategy rather than a pan-global one.

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Key differences between international markets include:

- Economic and social differences
  - Average living standards vary widely, influencing international marketing decisions.
  - In 2018, Qatar had the highest GDP per capita at **130,475 dollars**, while the Central African Republic had the lowest at **712 dollars**.
  - Cost of living, tax rates, interest rates, and population age structures are key factors.
  - Social differences, like the role of women and marriage's importance, also affect product choices and marketing strategies in foreign markets.
- Legal differences
  - **Legal differences worldwide significantly impact international marketing strategies:**
    - Some products, like guns, are legal in the USA but banned elsewhere.
    - Advertising restrictions vary, such as Sweden's ban on ads targeting children under 12.
    - Product safety and labeling standards are stricter in regions like the EU compared to some African countries.
- Cultural differences
  - Cultural differences strongly influence consumer behavior and can undermine marketing strategies if overlooked.
  - Language translation errors can lead to unintended meanings in foreign markets.
  - Using male and female models together in ads may be unacceptable in countries with strong religious traditions.
  - Colors hold different meanings, such as white for mourning in the Far East and black in the West.
- Differences in business practices
  - Accounting standards and rules differ globally.
  - Setting up a local company for direct marketing varies in ease and cost by country.
  - In the UK, it takes a few days, while in Sierra Leone, it can take over a year due to formalities.

Selecting the method of entry into international markets

- After deciding on international marketing, a business must select a market entry method.

Some options include:

Exporting products

- Exporting involves selling products directly to foreign customers, often through e-commerce or for large capital equipment like aircraft. Businesses may also establish marketing divisions in target countries.
- Alternatively, exporting can be indirect, using trade agents or companies specialising in managing sales for businesses unfamiliar with the target market.
- The tables below outline the benefits and limitations of direct and indirect exporting.

Direct

Benefits of exporting directly	Limitations of exporting directly
The business retains full control over international marketing.	Dedicated sales personnel are needed to handle foreign buyers, and management may need to travel for significant contracts.
Agents and traders may prioritise other companies they represent over new exporters.	Without a local agent, the business may lack crucial local knowledge, such as import controls.
No intermediary commissions mean profit margins remain intact.	The exporter manages logistics, storage, and all necessary paperwork.

Indirect

Benefits of exporting indirectly	Limitations of exporting indirectly
Local agents or trading companies bring market knowledge and customer contacts, aiding product marketing.	Commission or payments to agents reduce the exporter's profit margin.
Agents handle transport and administrative procedures.	The intermediary may prioritise other products, including competitors', over the exporter's.
Fewer employees and reduced manager visits make this option cost-effective for the exporter.	-

International franchising

- International franchising involves using foreign franchisees to run a firm's operations abroad.
- This can include a single franchisee managing all outlets in a country, as **McDonald's** does in Argentina, or appointing individual franchisees for each location.

  The benefits and limitations of franchising, include the added advantage of foreign franchisees' local market knowledge.

Joint ventures

- An example of a joint venture is **McDonald's** 50-50 joint venture with **Indian chains Hardcastle Restaurants** and **Connaught Plaza Restaurants.**

Licensing

- Licensing allows a foreign business to produce branded or patented products under controlled quality terms.

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- It saves on export time, transport costs, and keeps products fresher, while avoiding capital cost of setting up operations abroad.
- However, there are limitations:
  - Potential quality lapses.
  - Unethical production methods by the licensee, damaging the brand.
  - Licensee business failure, reducing production, sales, and income.

Direct investment in foreign subsidiaries

- Merging with or taking over local companies can cause issues due to differences in business culture, structure, and technology.
- Wholly owned subsidiaries are an alternative, often more successful than mergers or takeovers.
- Subsidiaries can include factories *(e.g., Toyota in the EU and South America)* or retail operations *(e.g., Tesco in Thailand and China)*.
- Subsidiaries may be decentralised with local management or centralised with control from the home office.

Benefits	Limitations
The head office controls operations but may decentralise decision-making to reflect local conditions, without needing to consult an agent or joint venture partner.	Setting up foreign operations is costly, requiring senior staff and higher capital costs than exporting.
All profits after tax belong to the company, with no commission or profit sharing with a partner.	Foreign operations may face risks like changes in government policy or being asked to leave (e.g., Coca-Cola in India).
Foreign governments may offer financial support to encourage inward investment.	Decentralised subsidiaries may make decisions, such as using unethical labor, that harm the company's reputation.

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